Hemline Swap

HEMLINE SWAP: EXECUTIVE SUMMARY

Problem

College students face a recurring expense that makes little economic sense. Galas, sorority and fraternity formals, career fairs, interviews, cultural events and graduation all demand formalwear, and most students own little of it. They buy outfits for a single night, wear them once or twice, and then store them. In a survey we ran at our university with 412 respondents, the average student spent 118 dollars on formalwear in the past year and wore each piece an average of 1.4 times. Sixty-one percent said they had bought something for an event that they never wore again. For students on tight budgets, 118 dollars is a meaningful sum, and for first-generation and lower-income students the pressure to look the part at an interview or a formal can be a real barrier to participation. Existing options do not solve this well. Commercial rental services are priced for adults with salaries, ship by mail with fixed windows and sizing risk, and rarely cover the specific styles students want. Resale apps are built for everyday fashion, not for borrowing a dress for Saturday.

Solution

Hemline Swap is a mobile marketplace built specifically for one-night formalwear among college students. A student photographs an item, tags the size, style, occasion and condition, and lists it in under two minutes. Other students on the same campus browse by event type, size and date, and request a rental, a swap or a purchase. Because users are on the same campus, pickup and return happen in person within a day, which removes shipping delays and fit uncertainty, since students can ask a classmate how an item runs. Payment, a refundable damage deposit and a rating system are handled in the app. Listing is free, so supply grows from the closets students already have. We think the product is distinctive because it combines three things competitors do not: hyperlocal supply, event-based search, and a student-only trust layer using verified university accounts.

Market

There are roughly 19 million students enrolled in US colleges and universities. If we assume that a typical student attends three to four formal events a year and spends between 100 and 150 dollars annually on formalwear, annual campus formalwear spending is in the range of 2 billion to 3 billion dollars. We treat this as our addressable market. Our initial serviceable market is the set of mid-size and large residential campuses with active Greek life, formals and career programs, which we estimate at about 600 institutions and 6 million students. If Hemline Swap captured just five percent of that serviceable spending through rentals priced well below purchase, annual transaction volume would exceed 50 million dollars. Our pilot suggests demand is concentrated around predictable seasonal peaks, such as formal season in autumn and spring and the interview season, which helps us plan inventory and marketing.

Business Model

Hemline Swap earns revenue three ways. First, we take a 15 percent service fee on every rental, charged to the borrower on top of the lender price. Second, we take a 10 percent fee on resales completed in the app. Third, we sell optional protection, a 2 dollar per rental damage waiver that reduces deposit friction. Typical rentals in the pilot were priced at 15 to 35 dollars, against a purchase price of 80 to 200 dollars for the same item, so borrowers save roughly 70 percent and lenders earn money on items that would otherwise sit unused. Our pilot average order was 31 dollars of transaction volume, which implies about 4.65 dollars of fee revenue per rental before protection add-ons. We expect a returning user to rent 3 to 4 times a year, and since customer acquisition on campus is largely organic through events, student organizations and word of mouth, we expect acquisition costs to remain low. Later revenue options include sponsored listings from local tailors and dry cleaners, and a cleaning-and-return service that students can add for a fee.

Competition

The closest alternatives fall into three groups. Mail-order rental subscriptions offer large catalogs but cost more per use, impose shipping windows, and are aimed at working adults. General resale and peer-to-peer fashion apps have large audiences but optimize for permanent ownership, not borrowing for a specific date, and offer no campus-level trust or fast pickup. Informal channels, such as group chats and social media posts asking to borrow a dress, are free and already common, which is evidence of demand, but they are unorganized, unreliable and offer no protection if an item is damaged or never returned. Our advantage is that we serve the exact moment students need an outfit, from people nearby whom they can verify, with payment and protection built in. The main risk is that a larger platform adds a campus mode. We intend to defend against this by building density on each campus first and by working with student organizations, which creates relationships a general app will find hard to copy.

Team

Priya Raghunathan, chief executive, is a senior in business administration who ran the formalwear closet for her sorority and observed the problem firsthand. She leads strategy, partnerships and campus operations. Marcus Delacroix-Boyd, chief technology officer, is a senior in computer science who built the first version of the app and previously completed two summer internships in mobile development. Tamsin Okafor-Lindqvist, head of growth and design, is a junior in marketing and design who led our user research and designed the brand and listing experience. The team has complementary skills across operations, engineering and growth, and has worked together for eight months.

Milestones and Financials

We have defined the core concept, registered the company, and launched a working version of the app. In a six-week pilot on one campus, 187 students created accounts, 241 items were listed, and 63 students completed paid rentals, generating 1,940 dollars in transaction volume and about 291 dollars in fee revenue. Of renters, 44 percent completed a second rental within the pilot window, and the average lender earned 37 dollars. Our costs to date are modest, covering app store fees, hosting and printed materials, at roughly 2,400 dollars funded personally by the founders. We have not yet formed a legal entity for the business and plan to do so with legal support before taking any prize money. Our forecast for the next twelve months assumes launch on four additional campuses, 3,500 registered users, 1,400 paid renters and about 55,000 dollars in transaction volume, producing roughly 9,000 dollars in fee revenue. We expect to reach break-even on direct costs within a year and to fund growth from a mix of competition prizes and a small seed round.

What We Ask For

We are asking for prize funding of 25,000 dollars, mentorship from experienced marketplace and consumer app founders, and help with legal formation and trust and safety policy. The funds would be allocated roughly as follows: 10,000 dollars for engineering time to add in-app payments, damage protection and verified student onboarding; 9,000 dollars for launch marketing and student ambassador programs on four campuses; 4,000 dollars for legal formation, insurance and terms of service; and 2,000 dollars for operating costs. With this support we aim to prove that the model repeats across campuses and to be ready for a seed round after the next formal season.